

Journal of Financial Crises

Volume 6 | Issue 4

2024

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Recommended Citation

Haggerty, Maryann (2024) "Lessons Learned: Karl-Philipp Wojick," *Journal of Financial Crises*: Vol. 6 : Iss. 4, 154-156.

DOI: <https://doi.org/10.17132/2693-3179.1606>

Available at: <https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss4/8>

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Yale Program on Financial Stability

Lessons Learned

Karl-Philipp Wojcik

By Maryann Haggerty

Karl-Philipp Wojcik is the general counsel of the European Union's (EU) Single Resolution Board (SRB), the central resolution authority within the EU's banking union. The banking union, which as of January 1, 2023, encompasses the 20 eurozone countries, along with Bulgaria, was established as part of the financial system reforms stemming from the Global Financial Crisis and the ensuing European sovereign debt crisis. The SRB's stated mission is to ensure orderly resolution of failing banks, protect taxpayers from state bailouts, and promote financial stability. Wojcik became SRB general counsel in November 2020. Previously, he was a member of the EC's legal service. This Lessons Learned summary is based on a November 2022 interview with Wojcik; the full transcript may be found [here](#).

Crises often reveal regulatory or infrastructure gaps in the financial stability framework that weaken it; these gaps should be addressed as expeditiously as possible.

Wojcik joined the European Commission legal staff in May 2010, amid the European sovereign debt crisis and bailout of Greece. The crisis brought to the forefront certain gaps in the EU and eurozone financial regulatory structure. Over the next few years, the EU established the banking union and its Single Supervisory Mechanism (SSM), Single Resolution Board, and Single Resolution Mechanism (SRM) to address issues in the banking system, especially insolvent banks.

Wojcik explained,

The crisis brought to the table questions such as lenders of last resort and the institutional governance of the monetary union—which we know is not fully underpinned by a fiscal currency union.

These things became very visible. The first years, in particular up to 2012, were years which I remember as years of acceleration of the crisis, and also years where one had to identify what really were the issues and what solutions existed.

Wojcik recalled that identifying the issues was not strictly intuitive in the midst of the crisis. While resolution became a critical focus, it was not high on the radar at first:

I think we have to first understand that before the financial crisis, bank resolution as such was not an area that really existed in many countries. It was only the FSB, [Financial Stability Board], which came with its key attributes in 2011, as a lesson of the crisis, which said more or less the following, “Well, we need administrative procedures, which are speedy and allow the management of a failing bank in such a way that financial stability is safeguarded, in such a way that values are preserved, in such a way that the taxpayer doesn’t need to bail out.”

At a meeting in June 2012, the so-called Euro Summit, Wojcik recalled, the “heads of state of the eurozone [met] . . . and reached an agreement in principle on the creation of a banking union as one of the necessary institutional governance structures that the EU needed to have in place in order to stabilize the crisis.”

He said, “Therefore, I think this is the lesson. We need such a system, and the Single Resolution Mechanism basically is the tool at the European level to fill that gap.” The proposed system presented novel legal questions that Wojcik and his team had to resolve within the framework of the existing European treaties. Wojcik said,

One of the very difficult questions to tackle, which was linked to the legal basis, was: Would you want to have a central EU banking supervisor which is supervising the banks of all European member states, or only those who use the euro as a currency? That latter was the solution found later. However, it was not, let’s say, the most straightforward solution, because basically it meant a sort of split of the member states into two groups. This also meant that the member that had the most important financial center of the European Union at the time, the UK with London, was not inside the chosen solution.

Nevertheless, Wojcik saw the summit agreement as pivotal. He explained:

In my personal perspective, the creation of the Single Supervisory Mechanism in 2013 and then also the creation of the Single Resolution Board as a single resolution mechanism in 2014 were really the turning points. For me, I can say that basically at the end of 2014, the crisis was more or less addressed at the legislative level. Afterwards there was implementation, the measures were put in place, but I think that the hot crisis was over.

When designing crisis-fighting tools or deciding which ones to use, be simple and pragmatic, but don’t be afraid to be bold and creative.

Because the SRM and SRB are relatively new, so are the legal challenges raised by new structures such as bail-in, the resolution tool meant to address some of the moral hazard worries connected to bailouts. For instance, Wojcik pointed out, “We have to apply many of the rules for the very first time. That means there is not necessarily case law or practice on which we can build, which of course implies that you need to check the rules very carefully, that you need to think carefully about the options and the potential consequences.” Don’t be afraid, he counseled—there has to be a first time to apply new rules.

He offered this advice to others dealing with novel legal challenges:

I think what is extremely important as a lesson is to always look for pragmatic and simple solutions, and basically to build consensus around these solutions. In my view, what I’ve seen is the following: The simpler the solutions, the better to explain it is, the easier it is also to build consensus around it. That is, I think, one of the first main lessons.

And another one is: Be creative. Don't be shy, don't think within the box, but be really creative, and be even a little bit daring, because often it's better to have a solution which may not be perfect, let's say, on all the matters, but it is better than to be too shy and therefore to undershoot your goals.

Dated: December 2024

YPFS Lessons Learned No. 2022-17